MainBank AG - Credit Policy for Corporate Customers (Version 2)

Synthetic demo document for the FUTURY Build Days #4 Knowledge Transfer challenge. MainBank AG, its customers and all figures are invented.

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Owner: Risk Management

## 1. Purpose and scope

This Credit Policy (Kreditrichtlinie) sets the binding rules for lending to corporate customers of MainBank AG: small and mid-sized companies (Mittelstand) served by Corporate Banking in the Rhein-Main area, for term loans, working-capital lines (Kontokorrent), guarantees and project financing.

Version 2 replaces Version 1 (credit-policy-2022-v1) in full with effect from 2025-07-01. All thresholds refer to the total exposure (Gesamtobligo) of the customer group: all committed facilities of the group of connected clients, including the facility under decision.

## 2. Why this policy was revised

The revision was triggered by the 2024 loss event, an insolvency in the corporate portfolio with a write-off of EUR 2.1 million, which showed that the thresholds of Version 1 were too generous, the statements used too old and exceptions not tracked centrally; and by the updated EBA guidelines on loan origination, which require stricter documentation of exceptions, more current financial information and an assessment of environmental, social and governance (ESG) factors.

## 3. What changed compared with Version 1 and why

Everything not listed here is unchanged.

- Four-eyes limit raised from EUR 1.0 million to EUR 1.5 million, reflecting portfolio growth.
- Head of Credit Analysis limit raised from EUR 3.0 million to EUR 5.0 million; Credit Committee above EUR 5.0 million instead of above EUR 3.0 million.
- New: project finance above EUR 3.0 million always goes to the Credit Committee.
- Minimum DSCR raised from 1.10 to 1.20 (lesson from the 2024 loss event); project finance gets its own rule: average 1.20 and at least 1.05 in any year after commissioning.
- Maximum debt/EBITDA lowered from 4.0x to 3.5x.
- Maximum LTV for machinery and vehicles lowered from 70% to 60% of the lending value, after low recoveries on machinery in the 2024 insolvency. Real estate stays at 80%.
- Age of annual financial statements at decision reduced from 12 months to 9 months. New: interim figures (BWA) not older than 3 months for exposures above EUR 1.0 million.
- New business only for ratings 1 to 5 instead of 1 to 6.
- Concentration trigger lowered from a single customer above 40% to a single customer above 25%

or top three above 60% of revenue; a sensitivity analysis (loss of the largest customer) is now mandatory in addition to the risk note.
- Exceptions: every deviation now requires form EXC-REQ, approved by the Head of Risk Management, logged in KreditPortal and never a precedent (Version 1: decided by the Head of Credit Analysis in the credit memo, no form).
- New: ESG questionnaire mandatory for exposures above EUR 2.0 million.
- New: grace periods above 12 months (maximum 24 months) need Risk Management sign-off.
- Annual review every 6 months for ratings 6 and worse, instead of every 12 months for all ratings.

4. Four-eyes principle and approval limits

Every credit decision requires a Markt vote (relationship manager, Corporate Banking) and a Marktfolge vote (credit analyst, Credit Analysis), both recorded in the credit memo (Kreditvorlage, form KV-02) in KreditPortal.

Approval authority by total exposure of the customer group after the new facility:

- Up to EUR 1.5 million: four-eyes decision by relationship manager and credit analyst.
- Above EUR 1.5 million and up to EUR 5.0 million: the Head of Credit Analysis.
- Above EUR 5.0 million: the Credit Committee.
- Project finance above EUR 3.0 million: always the Credit Committee, even below EUR 5.0 million total exposure.

5. Minimum financial requirements for new business

- Equity ratio of at least 20% (unchanged).
- DSCR of at least 1.20; project finance: average at least 1.20 over the loan term and at least 1.05 in any year after commissioning.
- Debt/EBITDA of at most 3.5x after the new facility.
- Internal rating between 1 and 5 (RatingTool, 1 = best, 10 = default); ratings 6 to 10 are not eligible for new business.
- Annual financial statements not older than 9 months at the date of the decision.
- For exposures above EUR 1.0 million: additionally interim figures (BWA) not older than 3 months.

Statements count as too old when the most recent financial year ended more than 9 months before the decision date and the audited statements for that year are not on file. Example: for a financial year ending 2025-12-31, the FY2025 statements are required for every decision from 2026-10-01; until 2026-09-30 the FY2024 statements suffice. Without them, an approved form EXC-REQ is required.

6. Collateral and loan-to-value

Maximum LTV of the lending value (Beleihungswert, set by Loan Operations):

- Machinery and vehicles: at most 60%.
- Real estate: at most 80%.
- Receivables: global assignment at the lending value set by Loan Operations.

7. Customer concentration

If a single customer accounts for more than 25% of the borrower's revenue, or the top three customers together for more than 60%, the credit memo (KV-02) must contain a risk note and a sensitivity analysis of losing the largest customer (effect on revenue, EBITDA and DSCR).

8. ESG questionnaire

For exposures above EUR 2.0 million the relationship manager completes the ESG questionnaire with the customer before the credit memo is finalised and attaches it in KreditPortal.

9. Grace periods

Grace periods (tilgungsfreie Zeit) up to 12 months may be approved within the normal limits; above 12 months they require Risk Management sign-off before the decision and are limited to 24 months.

10. Exceptions (form EXC-REQ)

Every deviation from sections 5 to 9 requires form EXC-REQ, prepared by the credit analyst with reason, deviation and proposed mitigants, and approved or rejected by the Head of Risk Management. Approved exceptions are logged in KreditPortal with their conditions and are never a precedent. Exceptions on exposures above EUR 2.5 million are additionally presented to the Credit Committee.

11. Annual review

Every corporate exposure is reviewed every 12 months; exposures rated 6 or worse every 6 months. The review updates the rating, checks section 5 against the new statements, confirms collateral, covenants and exception conditions, and is documented in KreditPortal with both votes.

12. Responsibilities and contacts

- Risk Management, Dr. Katrin Lorenz (Chief Risk Officer): policy owner, approves form EXC-REQ, signs off grace periods above 12 months.
- Credit Analysis, Stefan Krüger (Head of Credit Analysis): approver above EUR 1.5 million up to EUR 5.0 million.
- Credit Analysis, Dr. Petra Hoffmann (Senior Credit Analyst): Marktfolge vote, credit memos, EXC-REQ preparation.
- Corporate Banking, Claudia Weber (Head of Corporate Banking); relationship managers Martin Scholz and Daniel Fischer: application, ESG questionnaire, Markt vote.

- Credit Committee, Jochen Richter (Management Board, chair): decisions above EUR 5.0 million and project finance above EUR 3.0 million.
- Loan Operations, Sabine Neumann (Head of Loan Operations): lending values, contracts, collateral registration, disbursement.